COURSE

Junior Cycle Business Studies (NCCA)

Final accounts

Strand 2: Enterprise · 2.13 Final accounts; Strand 1 · 1.13 Income and expenditure

Revision for Strand 2: Enterprise: each firm works it out on its own deals, in euros.

Class **Junior Cycle Business Studies** Topic **Final accounts**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Total monthly costs**	TASK 2 **Fixed or variable**	

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Rank by profit**	TASK 4 **Average unit cost**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **More sales or cuts**	TASK 6 **Profit after rise**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

A month at the yard.

Total costs for the month?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Fixed costs, a month	**€8,000**
You pay per car	**€17,500**
Cars sold	**4 cars**

METHOD

Total costs = fixed costs + cars × cost per car

€8,000 + 4 × €17,500 = €78,000

Why: Fixed costs stay the same. Variable costs grow with every car.

Task 2

ROUND 1

You list your dealership's costs for a month.

Which two are fixed costs?

PICK TWO

- ○ Cars bought to sell
- ○ Commission on each sale
- ✔ **Rent on the showroom**
- ✔ **The manager's salary**
- ○ Valeting each car sold

Why: Rent and salaries stay the same however many cars you sell.

Task 3

ROUND 2

Three months: cars sold, the price, and total costs.

Order by profit, highest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **10 at €9,000, costs €70,000**
2. **6 at €15,000, costs €75,000**
3. **20 at €5,000, costs €90,000**

Why: Profit: €20,000, €15,000, €10,000. The most revenue made the least profit.

Task 4

ROUND 2

Cost of each car sold.

Average cost per car?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Fixed costs, a month	**€2,500**
Variable cost per car	**€9,500**
Cars sold	**5 cars**

METHOD

Average cost = fixed costs ÷ cars + variable cost per car

€2,500 ÷ 5 + €9,500 = €10,000

Why: Each car carries €500 of the fixed costs.

Task 5

ROUND 3

Each car adds €400 (price minus cost); you sell 15 a month. Sell 5 more, or cut fixed costs €1,500?

Which raises profit more, and why?

PICK A OR B AND GIVE A REASON

- ○ Cut fixed costs by €1,500
- ✔ **Sell 5 more cars**

Why: 5 × €400 = €2,000, more than the €1,500 saved.

Task 6

ROUND 3

Costs are going up.

Profit after the rise? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Sales	**€100,000**
Variable costs	**€45,000**
Fixed costs	**€15,000**
Variable costs rise by	**10%**

METHOD

Profit = sales – variable costs after the rise – fixed costs

€100,000 – €45,000 – 10% (€4,500) – €15,000 = €35,500

Why: The rise adds €4,500 to variable costs.

Final questions

6	50	1
questions for each pupil	questions in the Irish set	of them on final accounts

The game draws 6 questions from the lesson topic "Cash, profit and VAT"; these 1 are about final accounts.

1 You sold a van for €15,000 that cost €11,700. What is left of the margin after the VAT on this sale?

€2,683